Canada Revenue Agency | Agence du revenu du Canada

T4032-ON, Payroll Deductions Tables – CPP, EI, and income tax deductions – Ontario

Effective
January 1, 2026

T4032-ON-01(E)

Canada

What's new as of January 1, 2026

The major changes made to this guide since the last edition are outlined.

This guide reflects some income tax changes recently announced which, if enacted as proposed, would be effective January 1, 2026. At the time of publishing, some of these proposed changes were not law. We recommend that you use the new payroll deductions tables in this guide for withholding starting with the first payroll in January 2026.

Federal legislative updates

On May 27, 2025, the Government of Canada tabled a Notice of Ways and Means Motion with proposed legislation that reduces the lowest income tax rate from 15% to 14%. For 2025, the lowest tax rate was set at 14.5%.

Effective July 2025, a prorated tax rate of 14% was used.

For 2026 and subsequent tax years, the lowest federal tax bracket will be 14%.

The tax rates and brackets are as follows:

- for income under $58,523, the tax rate is 14%
- for income from $58,523 to $117,045, the tax rate is 20.5%
- for income from $117,045 to $181,440, the tax rate is 26%
- for income from $181,440 to $258,482, the tax rate is 29%
- for income of $258,482 and over, the tax rate is 33%

See Chart 1 for rates, income thresholds, and constants.

Payroll Deductions Tables

You can download guides T4008, Payroll Deductions Supplementary Tables, and T4032, Payroll Deductions Tables, from our webpage at **canada.ca/payroll**. You can also choose to print only the pages or information that you need.

Payroll Deductions Online Calculator (PDOC)

For your 2026 payroll deductions, we strongly recommend using our PDOC. The online calculator makes it faster and easier to calculate payroll deductions. The calculator also uses exact salary figures and provides more accurate calculations. It calculates payroll deductions for the applicable province (except Quebec) or territory for the most common pay periods.

PDOC is available at **canada.ca/pdoc**.

Let us notify you

We provide a digital service that can notify you immediately, **free of charge**, of any changes for payroll deductions.

To subscribe, visit our webpage at **canada.ca/cra-email-lists** and enter your business's email address for each mailing list that you want to join.

Special Notice

Payroll Deductions Tables (T4032)

The Canada Revenue Agency is no longer publishing the paper and CD versions of the Guide T4032, Payroll Deductions Tables. The digital versions of the guide continue to be available on our website at **canada.ca/payroll**.

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This guide uses plain language to explain the most common tax situations. If you need more help, visit **canada.ca/payroll**.

Who should use this guide?

This guide is intended for the employer and the payer. It contains tables for federal and provincial tax deductions, CPP contributions and EI premiums. It will help you determine the payroll deductions for your employees or pensioners.

The provincial and federal tables are designed to accurately calculate the deductions provided by the CPP additional contributions in most situations. However, for the following situations, we recommend using the PDOC for more accurate calculations:

- If at any point during the year, the employee reaches the YMPE of $74,600 or;
- A payment of remuneration, if annualized by the number of pay periods in the cycle, is over the YMPE of $74,600

If the tables are used in these situations, it may result in over or under deduction of federal and provincial taxes during the year.

For more information on deducting, remitting, and reporting payroll deductions, visit **canada.ca/payroll**.

Note
Refer to the 2025 edition of Payroll Deductions Tables to resolve any pensionable and insurable earnings review (PIER) deficiencies that we identify in processing your 2025 T4 return.

What if your pay period is not in this guide?

This guide contains the most common pay periods: weekly, biweekly (every two weeks), semi-monthly, and monthly. If you have unusual pay periods, such as daily (240 working days), or 10, 13, or 22 pay periods a year, see the Guide T4008, Payroll Deductions Supplementary Tables, or the PDOC to determine tax deductions.

Which provincial or territorial tax table should you use?

Before you decide which tax table to use, you have to determine your employee's province or territory of employment. This depends on whether you require the employee to report for work at your place of business.

If the employee reports for work at your place of business, the province or territory of employment is considered to be the province or territory where your business is located.

To withhold payroll deductions, use the tax table for that province or territory of employment.

If you do not require the employee to report for work at your place of business, the province or territory of employment is the province or territory in which your business is located and from which you pay your employee's salary.

For more information and examples, visit **canada.ca/payroll**.

Federal tax for 2026

Indexing for 2026

For 2026, the federal income thresholds, the personal amounts and the Canada employment amount have been changed based on changes in the consumer price index.

The federal indexing factor for January 1, 2026 is 2.0%. The tax credits corresponding to the claim codes in the tables have been indexed accordingly. Employees will automatically receive the indexing increase, whether or not they file Form TD1, 2026 Personal Tax Credits Return.

Tax rates and income thresholds

For 2026, the federal tax rates and income thresholds are:

Chart 1 – 2026 Federal tax rates and income thresholds

Annual taxable income ($) from	Annual taxable income ($) to	Federal tax rate, R	Constant ($), K
0.00	58,523.00	0.1400	0
58,523.01	117,045.00	0.2050	3,804
117,045.01	181,440.00	0.2600	10,241
181,440.01	258,482.00	0.2900	15,685
258,482.01	and over	0.3300	26,024

Canada Employment Amount

The non-refundable tax credit for CEA is built into the federal payroll deductions tables. The federal CEA is the lesser of:

- $1,501 and
- the individual's employment income for the year

The maximum annual non-refundable tax credit is $210.14.

Pension income is not eligible for this credit. If you are paying pension income, use the PDOC to calculate the tax deduction.

Basic personal amounts

The federal personal amounts for 2026 are:

Maximum basic personal amount ($)	Minimum basic personal amount ($)
16,452	14,829

For more detailed information on the personal amounts, go to Form TD1.

Ontario tax for 2026

Ontario indexing for 2026

For 2026, the provincial income thresholds, the personal amounts, and the tax reduction amounts have been indexed. They have been changed based on changes in the consumer price index.

The indexing factor for January 1, 2026, is 1.9%. The tax credits corresponding to the claim codes in the tables have been indexed accordingly. Employees will automatically receive the indexing increase, whether or not they file Form TD1ON, 2026 Ontario Personal Tax Credits Return.

Tax rates and income thresholds

For 2026, the Ontario tax rates and income thresholds are:

Chart 2 – 2026 Ontario tax rates and income thresholds

Annual taxable income ($) from	Annual taxable income ($) to	Provincial tax rate, V	Constant ($), KP
0.00	53,891.00	0.0505	0
53,891.01	107,785.00	0.0915	2,210
107,785.01	150,000.00	0.1116	4,376
150,000.01	220,000.00	0.1216	5,876
220,000.01	and over	0.1316	8,076

Ontario health premium

For 2026, the Ontario health premium is:

- when taxable income is less than or equal to $20,000, the premium is $0
- when taxable income is greater than $20,000 and less than or equal to $36,000, the premium is equal to the lesser of (i) $300 and (ii) 6% of taxable income greater than $20,000
- when taxable income is greater than $36,000 and less than or equal to $48,000, the premium is equal to the lesser of (i) $450 and (ii) $300 plus 6% of taxable income greater than $36,000
- when taxable income is greater than $48,000 and less than or equal to $72,000, the premium is equal to the lesser of (i) $600 and (ii) $450 plus 25% of taxable income greater than $48,000
- when taxable income is greater than $72,000 and less than or equal to $200,000, the premium is equal to the lesser of (i) $750 and (ii) $600 plus 25% of taxable income greater than $72,000
- when taxable income is greater than $200,000, the premium is equal to the lesser of (i) $900 and (ii) $750 plus 25% of taxable income greater than $200,000

Surtax

For 2026, the Ontario's surtax is:

- where the basic provincial tax payable is less than or equal to $5,818, the surtax is $0
- where the basic provincial tax payable is greater than $5,818 and less than or equal to $7,446, the surtax is 20% of the basic provincial tax payable over $5,818
- where the basic provincial tax payable is greater than $7,446, the surtax is 20% of the basic provincial tax payable over $5,818, plus 36% of the basic provincial tax payable over $7,446

Tax reduction

For 2026, Ontario's tax reduction amounts are:

Basic personal amount	$300
Amount for each dependant under age 18	$575
Amount for each dependant with a disability that the employee or pensioner has claimed on Form TD1ON	$575

The reduction is equal to twice the individual's personal amounts minus the provincial tax payable before reduction. The reduction cannot be more than the provincial tax payable before reduction. The reduction is nil when the provincial tax payable before reduction is more than twice the personal amounts. Because of the way the reduction for dependants with disabilities is determined, we include only the basic personal amount in the provincial tax tables.

Basic personal amounts

For 2026, the Ontario non-refundable basic personal tax credit is $12,989.

For more detailed information on the personal amounts, see Form TD1ON, 2026 Ontario Personal Tax Credits Return.

Canada Pension Plan (CPP) and Employment Insurance (EI)

CPP contributions for 2026

CPP	Year's Maximum Pensionable Earnings (YMPE)	Basic Exemption	Year's Maximum Contributory Earnings (YMCE)	Employee and Employer Contribution Rate	Maximum Employee and Employer Contribution
CPP base contribution	74,600.00	3,500.00	71,100.00	0.0495	3,519.45
First additional CPP contribution				0.0100	711.00
CPP contribution*	74,600.00	3,500.00	71,100.00	0.0595	4,230.45

*CPP base and first additional contributions are included in the CPP contributions.

Second additional CPP contribution for 2026

	Year's Maximum Pensionable Earnings (YMPE)	Year's Additional Maximum Pensionable Earnings (YAMPE)	Pensionable earnings subject to Second Additional Contribution	Second Additional Employee and Employer Contribution Rate	Maximum Second Additional Employee and Employer Contribution
Second additional CPP contribution	74,600.00	85,000.00	10,400.00	0.0400	416.00

You stop deducting CPP and CPP2 (if applicable) when the employee reaches their maximum annual contribution for the year. For more information, visit **canada.ca/payroll**.

Note
As an employer, you must remit the employer's and employee's share of CPP and CPP2 contributions.

EI premiums for 2026

EI	Maximum Annual Insurable Earnings	Employee Contribution Rate	Employer Contribution Rate	Maximum Annual Employee Premium	Maximum Annual Employer Premium
Canada except QC	68,900.00	0.0163	0.02282	1,123.07	1,572.30

You stop deducting EI when the employee reaches their maximum annual premium. For more information, visit **canada.ca/payroll**.

Note
As an employer, you must remit the employer's and employee's share of EI premiums.

Personal tax credits returns (TD1 forms)

You may have to ask your employees or your pensioners to complete a federal and a provincial personal tax credits return using a federal Form TD1 and a provincial Form TD1.

For more information, visit **canada.ca/payroll**.

Claim codes

The total personal amount an employee claims on a TD1 form will determine which claim code you use. The claim amounts that correspond to the federal claim codes are not the same as the claim amounts that correspond to the provincial claim codes. See Chart 3 and Chart 4.

Explanation of claim codes

Claim code 0

This code represents **no claim amount**. If the federal claim code is "0" because the employee is a non-resident, the provincial claim code must also be "0." This code may also be used if the employee indicated they have more than one employee or payer at the same time and have entered "0" on the front page of Form TD1 for 2026.

Claim codes 1 to 10

The claim code amounts do not appear on either the federal or the provincial TD1 form.

You match the "Total claim amount" reported on your employee's or pensioner's TD1 forms with the appropriate claim codes. Then, you look up the tax for the employee's pay under the claim code in the federal and provincial tax tables for the pay period.

Indexing of claim codes amounts

The credits that apply to each federal and provincial claim code have been automatically increased in the tax tables by the indexing factor for the current year. If your employee did not complete the federal and provincial TD1 forms for 2026, you continue to deduct income tax using the same claim code that you used last year.

Chart 3 – 2026 Federal claim codes (using maximum BPA)

Total claim amount ($) from	Total claim amount ($) to	Claim code
No claim amount	No claim amount	0
0.00	16,452.00	1
16,452.01	19,285.00	2
19,285.01	22,118.00	3
22,118.01	24,951.00	4
24,951.01	27,784.00	5
27,784.01	30,617.00	6
30,617.01	33,450.00	7
33,450.01	36,283.00	8
36,283.01	39,116.00	9
39,116.01	41,949.00	10

Chart 4 – 2026 Ontario claim codes

Total claim amount ($) from	Total claim amount ($) to	Claim code
No claim amount	No claim amount	0
0.00	12,989.00	1
12,989.01	15,787.00	2
15,787.01	18,585.00	3
18,585.01	21,383.00	4
21,383.01	24,181.00	5
24,181.01	26,979.00	6
26,979.01	29,777.00	7
29,777.01	32,575.00	8
32,575.01	35,373.00	9
35,373.01	38,171.00	10

Form TD1X, Statement of Commission Income and Expenses for Payroll Tax Deductions

If your employees want you to adjust their tax deductions to allow for commission expenses, they have to complete Form TD1X, Statement of Commission Income and Expenses for Payroll Tax Deductions.

You deduct tax from your employees' commission pay using the "Total claim amount" on their TD1 forms in the following situations:

- if your employees do **not** complete a Form TD1X or
- if they tell you in writing that they want to cancel a previously completed Form TD1X

How to use the tables in this guide

Use the tables in this guide to determine the CPP contributions, EI premiums, federal tax, and provincial tax that you will deduct from your employees' remuneration.

Canada Pension Plan tables

Section B is split into two tables: Section B(i) – CPP contributions table and Section B(ii) – Second additional CPP contributions table. Section B(ii) provides the CPP2 contributions that you are required to withhold from your employee's pay. CPP2 contributions are required for pensionable earnings between the YMPE ($74,600) and the YAMPE ($85,000).

Use the following steps to determine the CPP contributions and if applicable, CPP2 contributions.

Step 1. Use Section B(i) to determine CPP contributions. If the maximum CPP contribution of $4,230.45 is reached, proceed to Step 2.

Note
In the pay period where maximum CPP contribution is reached, you may be required to use both Section B(i) and Section B(ii).

Step 2. Once the maximum CPP contribution is reached, use the following formula to determine the "Pay" range for Section B(ii) to determine the first CPP2 contribution:

Pay subject to CPP2 contributions = PI_{YTD} + PI – (YMPE × (PM/12))

If the result is positive, proceed to step 3, otherwise repeat step 2 in the subsequent pay period.

PI_{YTD} = Year-to-date pensionable income. This does not include pensionable income for the current pay period.

PI = Pensionable income for the current pay period.

YMPE = Year's maximum pensionable earnings.

PM = Number of months during which CPP and/or QPP contributions are required to be deducted. Visit **canada.ca/payroll** for more details.

Step 3. Use Section B(ii) to determine the remaining CPP2 contributions, until the maximum CPP2 contribution is reached. The maximum CPP2 contribution for 2026 is $416.00. For the last payment made in the year, proceed to Step 4 if the **annual** pensionable earnings is between YMPE and YAMPE.

Step 4. Section B(ii) uses $0.05 increments for the CPP2 contributions. As a result, for employees with an **annual** pensionable earnings between YMPE and YAMPE, it may be required to calculate the CPP2 contributions for the last payment in the year. This is to avoid CPP2 under or over-contributions.

To calculate the CPP2 contributions for the last pay period in the year:

Calculate the employee's annual CPP contribution:
(Annual pensionable earnings – Year's Maximum Pensionable Earnings) × 4%

Calculate the remaining contribution for the year:
Annual CPP contribution – Year-to-date CPP contributions

Example of an employee earning more than the YAMPE

An employee is earning $3,500.00 per pay period. There are 26 pay periods in the year since this employee is getting paid biweekly. The employee's maximum CPP and CPP2 contributions are $4,230.45 and $416.00 respectively.

Pay period	Section B(i)	Pay subject to CPP contributions	Section B(ii)	Pay subject to CPP2 contributions
1-21	✓	$3,500.00		-
22	✓	Until maximum is reached	✓	$2,400.00*
23		-	✓	$3,500.00
24-25		-	✓	Until maximum is reached

* $= PI_{YTD} + PI – (YMPE \times (PM/12))$

= $73,500.00 + $3,500.00 – $74,600.00

= $2,400.00

Section B(i) – CPP contributions table

The annual basic exemption is built into the CPP tables.

- Find the pages in Section B(i) that correspond to your pay period
- To find the range that includes your employee's pensionable earnings for the pay period (this includes any taxable benefits), look down the "Pay" column
- In the column next to the "Pay" column, you will find the CPP contribution that you should withhold from your employee's pay

Section B(ii) – Second additional CPP contributions table

- To find the range that includes your employee's pensionable earnings for the pay period (this includes any taxable benefits), look down the "Pay" column. Consult the steps in "Canada Pension Plan Tables" section above for more information
- In the column next to the "Pay" column, you will find the CPP2 contribution that you should withhold from your employee's pay

Section C – EI premiums table

- To find the range that includes your employee's insurable earnings for the pay period, look down the "Insurable earnings" column. When you use the table in this guide to determine the EI premiums, look up the insurable earnings for the period not the gross remuneration
- In the column next to the "Insurable earnings" column, you will find the EI premium that you should withhold from your employee's pay

Tax deductions tables

If you are using the income tax tables in this guide to determine your employees' and pensioners' total tax deductions, you have to look up the amounts in the federal tax table and the provincial tax table.

To determine the total tax you deduct for the pay period, you must add the federal and provincial tax amounts.

Even if the period of employment for which you pay a salary is less than a full pay period, you must continue to use the tax deductions table that corresponds to your regular pay period.

Section D – Federal tax deduction table

- Find the pages in Section D that correspond to your pay period
- To find the range that corresponds to your employee's taxable income (this includes any taxable benefits), look down the "Pay" column
- In the row under the applicable claim code, you will find the amount of federal tax that you should withhold from your employee's pay (for more information, see the section called "Claim codes" and Chart 3)

Section E – Provincial tax deduction table

- Find the pages in Section E that correspond to your pay period
- To find the range that includes your employee's taxable income (this includes any taxable benefits), look down the "Pay" column
- In the row under the applicable claim code, you will find the amount of provincial tax that you should withhold from your employee's pay (for more information, see the section called "Claim codes" and Chart 4)

Example

You are an employer in Ontario. Sara, your employee, earns $615 a week in 2026. She has a federal claim code 1 and a provincial claim code 1.

To determine Sara's federal tax deductions, you look at the weekly federal tax deductions table and find the range for her weekly salary, which is 614-618. The federal tax deductions for $615 weekly under claim code 1 is $31.95.

To determine Sara's provincial tax deductions, you use the weekly provincial tax deductions table. In the Ontario tax deductions table, the provincial tax deduction for $615 weekly under claim code 1 is $22.05.

Sara's total tax deduction is $54.00 ($31.95 + $22.05). This amount of taxes will be included in your remittance to us.

Additional information about payroll deductions

Deducting tax from income not subject to CPP contributions or EI premiums

We have built the tax credits and tax deductions for CPP contributions and EI premiums into the federal and provincial tax deductions tables in this guide. However, certain types of income, such as pension income, are not subject to CPP contributions and EI premiums. As a result, you will have to adjust the amount of federal and provincial income tax you are deducting.

To determine the amount of tax to deduct from income not subject to CPP contributions or EI premiums, use the Payroll Deductions Online Calculator, available at **canada.ca/pdoc**. On the "Salary calculation" and/or on the "Commission calculation" screen, go to Step 3 and select the "CPP exempt" and/or "EI exempt" option before clicking on the "Calculate" button.

Step-by-step calculation of tax deductions

You can use the following step-by-step calculations to calculate the tax deductions for your employee or pensioner.

The example shows you how to determine the amount of tax to deduct from all income.

However, if you design your own payroll program or spreadsheets to calculate tax deductions, do not use either of these calculations. Instead, see Guide T4127, Payroll Deductions Formulas.

Example – Annual Pensionable Income Below YMPE

This example applies to a person who earns $1,300 weekly and contributes $80 to a registered retirement savings plan (RRSP). This person claims the basic personal amount. The CPP contribution is $73.35 and the EI premium is $21.19 for this pay period.

CPP contributions = 0.0595 × ($1,300 – ($3,500/52)) = $73.35

EI premiums = 0.0163 × $1,300 = $21.19

Calculate annual taxable income

	Description	Sub-amounts		Amounts
(1)	Gross remuneration for the pay period (weekly)			$ 1,300.00
(2)	**Minus**			
	■ CPP additional contribution ($73.35 × (0.0100/0.0595))	12.33		
	■ the RRSP contributions*	80.00		
			–	$ 92.33
	* **This amount has to be deducted at source.**			
(3)	Net remuneration for the pay period (line 1 minus line 2)			$ 1,207.67
(4)	Annual net income ($1,207.67 × 52 weeks)			$ 62,798.84
(5)	**Minus** the annual deduction for living in a prescribed zone, reported on Form TD1		–	0.00
(6)	Annual taxable income (line 4 minus line 5)			$ 62,798.84

Calculate federal tax

	Description	Sub-amounts		Amounts
(7)	Basic federal tax:	$ 62,798.84		
	Multiply the amount on line 6 by the federal tax rate (R) based on Chart 1	× 0.205		
				$ 12,873.76
(8)	**Minus** the federal constant (K) based on the annual taxable income on line 6 (go to Chart 1)		–	3,804.00
(9)	Federal tax (line 7 minus line 8)			$ 9,069.76
(10)	**Minus** the federal tax credits:			
	■ the total of personal tax credit amounts reported on the federal Form TD1	$ 16,452.00		
	■ the CPP base contributions (($73.35 × (0.0495/0.0595)) × 52 weeks)*	3,173.04		
	■ the EI premiums ($21.19 × 52 weeks)*	1,101.88		
	■ the Canada employment amount (annual maximum $1,501.00)	1,501.00		
	Total	$ 22,227.92		
	*** Note** When the maximum CPP contributions or EI premiums for the year is reached, use the maximum amount for later calculations			
(11)	**Multiply** the total on line 10 by the lowest federal tax rate for the year	× 0.14		
(12)	Total federal tax credits		–	$ 3,111.91
(13)	Total federal tax payable for the year (line 9 minus line 12)			$ 5,957.85

Calculate provincial tax

	Description	Sub-amounts		Amounts
(14)	Basic provincial tax for Ontario:	$ 62,798.84		
	Multiply the amount on line 6 by the provincial tax rate (V) based on Chart 2	× 0.0915		
				$ 5,746.09
(15)	**Minus** the provincial constant (KP) based on the annual taxable income on line 6 (go to Chart 2)		–	2,210.00
(16)	Provincial tax on income for Ontario (line 14 minus line 15)			$ 3,536.09
(17)	**Minus** the provincial tax credits:			
	■ the total of personal tax credit amounts reported on Form TD1ON	$ 12,989.00		
	■ the CPP base contributions (($73.35 × (0.0495/0.0595)) × 52 weeks)*	3,173.04		
	■ the EI premiums ($21.19 × 52 weeks)*	1,101.88		
	Total	$ 17,263.92		
	*** Note** When the maximum CPP contributions or EI premiums for the year is reached, use the maximum amount for later calculations			
(18)	**Multiply** the total on line 17 by the lowest provincial tax rate for the year	× 0.0505		
(19)	Total provincial tax credits		–	$ 871.83
(20)	Basic provincial tax (line 16 minus line 19)			$ 2,664.26
(21)	**Add** provincial surtax			
	■ Where line 20 is less than or equal to $5,818, the surtax is $0	$ 0.00		
	■ Where line 20 is greater than $5,818 and less than or equal to $7,446, the surtax is 20% of line 20 that is more than $5,818	0.00		
	■ Where line 20 is greater than $7,446, the surtax is 20% of line 20 that is more than $5,818 **plus** 36% of line 20 that is more than $7,446	0.00		
	Provincial surtax		+	0.00
(22)	Total provincial tax including surtax			$ 2,664.26
(23)	**Add** Ontario health premium (See page A-6 for more details)			
	Determine the premium based on the annual taxable income (line 6)			
	The premium is whichever amount is less:			
	(i) $600; or			
	(ii) $450 **plus** 25% of taxable income greater than $48,000 and less than or equal to $72,000:		+	600.00
(24)	Provincial tax payable before reduction (line 22 plus line 23)			$ 3,264.26
(25)	**Minus** the provincial tax reduction: The lesser of:			
	(i) the total provincial tax payable on line 22; and	$ 2,664.26		
	(ii) twice the applicable personal amounts	$ 600.00		
	minus the amount on line (i) above.	– 2,664.26		
	If the result is negative, substitute $0.	$ 0.00	–	0.00
(26)	Total provincial tax payable for the year (line 24 minus line 25)			$ 3,264.26

Calculate total tax and the tax deduction for the pay period

	Description	Sub-amounts	Amounts
(27)	Total federal and provincial tax deductions for the year (line 13 plus line 26) If the result is negative, substitute $0.		$ 9,222.11
(28)	Tax deduction for the pay period: **Divide** the amount on line 27 by the number of pay periods in the year (52)		$ 177.35

Example – Pensionable Income Above YMPE

This example applies to a person who earns $1,600.00 weekly and claims the basic personal amount. The maximum CPP contribution of $4,230.45 and the maximum EI premiums of $1,123.07 have been reached. In addition, this person has started contributing to CPP2 and has contributed $24.00 year-to-date. The year-to-date pensionable income is $75,200. The CPP2 contribution for this pay period is:

CPP2 contributions - The lesser of:

(i) ($416.00 × (PM/12)) – D2 = ($416.00 × (PM/12)) – $24.00 = $392.00
(ii) (PI_{YTD} + PI – W) × 0.04 = ($75,200 + $1,600 – $75,200) × 0.04 = $64.00

Where W = The greater of

(i) PI_{YTD} = $75,200
(ii) YMPE × PM/12 = $74,600

Calculate annual taxable income

	Description	Sub-amounts		Amounts
(1)	Gross remuneration for the pay period (weekly)			$ 1,600.00
(2)	**Minus**			
	■ CPP2 contribution	$ 64.00	–	$ 64.00
(3)	Net remuneration for the pay period (line 1 minus line 2)			$ 1,536.00
(4)	Annual net income ($1,536.00 × 52 weeks)			$ 79,872.00
(5)	**Minus** the annual deduction for living in a prescribed zone, reported on Form TD1		–	0.00
(6)	Annual taxable income (line 4 minus line 5)			$ 79,872.00

Calculate federal tax

	Description	Sub-amounts		Amounts
(7)	Basic federal tax:	$ 79,872.00		
	Multiply the amount on line 6 by the federal tax rate (R) based on Chart 1	× 0.205		
				$ 16,373.76
(8)	**Minus** the federal constant (K) based on the annual taxable income on line 6 (go to Chart 1)		–	3,804.00
(9)	Federal tax (line 7 minus line 8)			$ 12,569.76
(10)	**Minus** the federal tax credits:			
	■ the total of personal tax credit amounts reported on the federal Form TD1	$ 16,452.00		
	■ the CPP base contributions for the pay period **multiplied by** the number of pay periods in the year (annual maximum $3,519.45)*	3,519.45		
	■ the EI premiums for the pay period **multiplied by** the number of pay periods in the year (annual maximum $1,123.07)*	1,123.07		
	■ the Canada employment amount (annual maximum $1,501.00)	1,501.00		
	Total	$ 22,595.52		
	***Note** When the maximum CPP contributions or EI premiums for the year is reached, use the maximum amount for later calculations			
(11)	**Multiply** the total on line 10 by the lowest federal tax rate for the year	× 0.14		
(12)	Total federal tax credits		–	3,163.37
(13)	Total federal tax payable for the year (line 9 minus line 12)			$ 9,406.39

Calculate provincial tax

Description		Sub-amounts		Amounts
(14) Basic provincial tax for Ontario:		$ 79,872.00		
Multiply the amount on line 6 by the provincial tax rate (V) based on Chart 2	×	0.0915		
				$ 7,308.29
(15) **Minus** the provincial constant (KP) based on the annual taxable income on line 6 (go to Chart 2)			–	2,210.00
(16) Provincial tax on income for Ontario (line 14 minus line 15)				$ 5,098.29
(17) **Minus** the provincial tax credits:				
■ the total of personal tax credit amounts reported on Form TD1ON		$ 12,989.00		
■ the CPP base contributions for the pay period **multiplied by** the number of pay periods in the year (annual maximum $3,519.45)*		3,519.45		
■ the EI premiums for the pay period **multiplied by** the number of pay periods in the year (annual maximum $1,123.07)*****		1,123.07		
Total		$ 17,631.52		
*** Note** When the maximum CPP contributions or EI premiums for the year is reached, use the maximum amount for later calculations				
(18) **Multiply** the total on line 17 by the lowest provincial tax rate for the year	×	0.0505		
(19) Total provincial tax credits			–	$ 890.39
(20) Total provincial tax payable for the year (line 16 minus line 19)				$ 4,207.90
(21) **Add** provincial surtax				
■ Where line 20 is less than or equal to $5,818, the surtax is $0		$ 0.00		
■ Where line 20 is greater than $5,818 and less than or equal to $7,446, the surtax is 20% of line 20 that is more than $5,818		0.00		
■ Where line 20 is greater than $7,446, the surtax is 20% of line 20 that is more than $5,818 plus 36% of line 20 that is more than $7,446		0.00		
Provincial surtax			+	0.00
(22) Total provincial tax including surtax				$ 4,207.90
(23) **Add** Ontario health premium (See page A-6 for more details)				
Determine the premium based on the annual taxable income (line 6)				
The premium is whichever amount is less:				
(i) $750; or				
(ii) $600 **plus** 25% of taxable income greater than $72,000 and less than or equal to $200,000:			+	750.00
(24) Provincial tax payable before reduction (line 22 plus line 23)				$ 4,957.90
(25) **Minus** the provincial tax reduction: The lesser of:				
(i) the total provincial tax payable on line 22; and		$ 4,207.90		
(ii) twice the applicable personal amounts		$ 600.00		
minus the amount on line (i) above.	–	4,207.90		
If the result is negative, substitute $0.		$ 0.00	–	0.00
(26) Total provincial tax payable for the year (line 24 minus line 25)				$ 4,957.90

Calculate total tax and the tax deduction for the pay period

Description	Sub-amounts	Amounts
(27) Total federal and provincial tax deductions for the year (line 13 plus line 26) If the result is negative, substitute $0.		$ 14,364.29
(28) Tax deduction for the pay period: **Divide** the amount on line 27 by the number of pay periods in the year (52)		$ 276.24